

Week 2 — Session 4

Core ERP Modules: Finance, Procurement, and Inventory

Session Opening

`[Camera on, presentation shared]`

Good day, everyone. Before ta magsugod, please give me a quick thumbs-up reaction if clear along audio and visible ang presentation.

Thank you. Last session, we discussed ERP architecture—the presentation tier, application tier, data tier, and the different deployment models. In other words, ato tong gi-examine ang technical structure behind an ERP system.

Today, we will look at ERP from the functional side. Inside that architecture are different modules that perform specific business responsibilities. Our focus will be on three foundational modules: **Finance, Procurement, and Inventory**.

As we go through the lesson, keep one question in mind: when an organization buys and receives something, how can one business event affect purchasing records, stock records, and financial records at the same time?

Slide 1 — Core ERP Modules: Finance, Procurement, and Inventory

****Stage Direction****

` [Shows Slide 1] `

****Verbatim Teacher Script****

` [Instructor reads the essential slide content] `

“Core ERP Modules: Finance, Procurement, and Inventory. How three foundational modules coordinate money, purchasing, stock, controls, and enterprise data.”

This session connects directly to our previous discussion. Session 3 explained the technical structure of ERP. Karon, ato nang tan-awon unsay actual business work nga nahitabo sulod sa system.

Finance, Procurement, and Inventory have different responsibilities, pero dili sila separate nga systems. Procurement controls how the organization purchases. Inventory records what is received, stored, transferred, or issued. Finance records the monetary effect of those activities.

Mao ni ang importanteng idea for today: one transaction may begin in one module, but its effects can continue across several modules.

****Transition****

Before we study each module, let us clarify what you should be able to explain by the end of the session.

` [Clicks next slide] `

Slide 2 — Intended Learning Outcomes

****Stage Direction****

` [Shows Slide 2 and reveals the outcomes gradually] `

****Verbatim Teacher Script****

` [Instructor reads the essential slide content] `

“By the end of this session, you should be able to identify the purpose and core records of the Finance, Procurement, and Inventory modules; describe General Ledger, Accounts Payable, and Accounts Receivable; trace connected purchasing, inventory, and financial effects; differentiate module responsibilities; and explain how integration supports visibility and decision-making.”

In simpler terms, class, you should be able to answer three main questions.

First, unsay responsibility sa each module? Second, when one business event happens, which records are affected? Third, why do these modules need shared data and common controls?

You do not need to memorize every label independently. Mas importante nga masabtan ninyo ang relationship among the modules and how a transaction moves across the system.

****Transition****

To understand those relationships, let us begin with the bigger picture: how modules operate within one integrated ERP platform.

` [Clicks next slide] `

Slide 3 — Modules Within an Integrated ERP System

****Stage Direction****

` [Shows Slide 3 and points to the Shared ERP Platform at the center] `

****Verbatim Teacher Script****

` [Instructor reads the essential slide content] `

“ERP modules organize specialized work without recreating information silos.”

The visual places the ****Shared ERP Platform**** at the center. Around it are Finance, Procurement, and Inventory. Each module performs a specialized responsibility, but all three depend on common master data, transaction rules, workflow, security, audit trail, and reporting.

Notice ninyo nga Finance is responsible for monetary effects, Procurement for supplier and purchasing activities, and Inventory for quantity, location, movement, availability, and value. Different ang ilang focus, but they still use the same enterprise records.

For example, the supplier selected by Procurement should be the same supplier recognized by Finance when the invoice is recorded. The item ordered by Procurement should also be the same item received and stored by Inventory.

So integration does not mean every module performs the same job. It means each module performs its own job while remaining connected to the same controlled information.

****Brief Example****

Suppose a university purchases ten desktop computers. Procurement manages the supplier and purchase order. Inventory records the ten units received and their location. Finance records the amount owed to the supplier.

****Transition****

Since Finance captures the monetary effect of operations, let us first examine its three major components.

` [Clicks next slide] `

Slide 4 — Finance Module: GL, AP, and AR

****Stage Direction****

` [Shows Slide 4 and highlights GL, AP, and AR one at a time] `

****Verbatim Teacher Script****

` [Instructor reads the essential slide content] `

“The Finance module records, classifies, controls, summarizes, and reports the monetary effects of enterprise operations.”

There are three components shown here: ****General Ledger, Accounts Payable, and Accounts Receivable****.

The ****General Ledger****, or GL, is the central accounting record. It contains accounts, journal entries, balances, accounting periods, and the structure used for financial statements.

****Accounts Payable****, or AP, manages what the organization owes to suppliers. It includes supplier invoices, due dates, payment status, and related controls.

****Accounts Receivable****, or AR, manages what customers owe to the organization. It includes customer invoices, collections, aging information, and outstanding balances.

Dili ni sila three unrelated accounting records. AP and AR contain detailed supplier and customer balances. Those detailed records eventually affect the General Ledger through controlled journal postings.

Also remember the statement at the bottom: Finance does not operate only at the end of the month. In an integrated ERP system, authorized operational events can create financial effects as they happen.

****Brief Example****

When the university accepts a supplier invoice for the computers, AP records the obligation. A related journal entry then updates the appropriate General Ledger accounts.

****Transition****

Now that GL, AP, and AR are clear, let us trace how an operational event becomes part of the organization's financial records.

`[Clicks next slide]`

Slide 5 — Finance Data Flow and Internal Control

****Stage Direction****

`[Shows Slide 5 and moves the cursor from left to right across the flow]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Subledgers feed the General Ledger through controlled posting.”

Let us follow the sequence.

First is the ****operational event****. This may be an authorized purchase, receipt, sale, payment, adjustment, or allocation.

Second, the event creates a ****subledger record****. A supplier invoice, for example, creates a detailed Accounts Payable record connected to a particular supplier.

Third is the ****journal posting****. The ERP assigns the correct account, amount, date, reference, cost center, and control information.

Finally, the information reaches the ****General Ledger****, where balances are consolidated for financial reporting.

The four controls below the flow protect that process. ****Approval**** confirms that authorized roles reviewed the transaction. ****Period control**** determines when the entry may be posted.

****Reconciliation**** checks whether detailed records agree with control accounts and supporting

evidence. The **audit trail** shows who performed the action, what changed, and which documents were involved.

Pasabot ani, the system should not simply record an amount. It should also preserve the reason, authority, timing, and reference behind that amount.

Quick Understanding Check

Which comes first: the General Ledger posting or the operational event?

` [Pauses briefly] `

Correct—the operational event comes first. The financial posting reflects an authorized business activity.

Transition

One major source of those operational events is purchasing. So let us now look at how Procurement controls the movement from organizational need to authorized purchase.

` [Clicks next slide] `

Slide 6 — Procurement Module: Purpose and Functions

Stage Direction

` [Shows Slide 6 and points to the definition before revealing the functions] `

Verbatim Teacher Script

` [Instructor reads the essential slide content] `

“The Procurement module manages supplier information, purchasing requests, approvals, purchase orders, receipts, invoice matching, and purchasing performance data.”

The overall role of Procurement is to control how an organizational need becomes an authorized purchase.

It begins with ****supplier management****, where approved suppliers, commercial terms, contacts, and status are maintained. Then ****purchase authorization**** ensures that the request passes through the appropriate review, budget, and approval controls.

Once approved, ****purchase order control**** creates the formal document stating the item, quantity, price, delivery conditions, and responsibility.

After delivery, ****receipt coordination**** connects what arrived to what was originally ordered. ****Invoice matching**** then compares the purchase order, receipt, and supplier invoice before the organization recognizes the obligation and releases payment.

Finally, ****purchasing visibility**** allows managers to monitor commitments, lead times, exceptions, order status, and supplier performance.

Notice that these functions form one connected process. Dili sila separate tasks nga walay relationship. Each step prepares evidence and control for the next step.

****Transition****

The easiest way to understand Procurement is to follow its document chain from the initial requirement up to payment.

` [Clicks next slide] `

Slide 7 — Procurement Process and Document Flow

****Stage Direction****

`[Shows Slide 7 and reveals each process step sequentially]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Each document changes the organization’s level of commitment and control.”

The process begins with a ****requirement****. This identifies a legitimate organizational need. At this stage, the organization is recognizing that something is needed, but it has not yet committed to a supplier.

The requirement becomes a ****purchase requisition****. This requests review, sourcing, and approval. It is still an internal document.

Once approved and issued, the ****purchase order**** creates a controlled commitment to the supplier. Klarohon nato: a purchase requisition requests permission to buy; a purchase order formally communicates what the organization is buying from the supplier.

Next is the ****receipt****, which confirms the quantity, condition, location, and acceptance of the delivered goods or completed service.

The supplier then submits an ****invoice****. After matching and approval, Finance recognizes the obligation. Finally, ****payment**** settles that obligation under the organization’s controls.

As we move from left to right, the organization’s commitment becomes stronger. The documents also provide traceability, status visibility, and a basis for comparing operational and financial records.

****Brief Example****

For the ten computers, the department identifies the need, submits a requisition, Procurement issues the purchase order, the units are received, the invoice is accepted, and Finance processes the payment.

****Transition****

A receipt confirms that the goods arrived, but Procurement does not maintain the complete stock record. Once the items are accepted, Inventory becomes responsible for quantity, location, status, and movement.

` [Clicks next slide] `

Slide 8 — Inventory Module: Purpose and Functions

****Stage Direction****

` [Shows Slide 8 and highlights the Inventory definition] `

****Verbatim Teacher Script****

` [Instructor reads the essential slide content] `

“The Inventory module records and controls items as they are received, stored, transferred, reserved, issued, counted, adjusted, and valued.”

Inventory begins with the ****item master****. This identifies exactly what the item is, including its description, unit of measure, classification, controls, and relevant planning settings.

The ****location structure**** identifies where the stock is stored—such as a warehouse, branch, storage area, or bin.

****Quantity status**** tells us more than the total number of units. It may distinguish on-hand, available, reserved, in-transit, blocked, or inspection quantities.

****Stock movement**** records what happened to the item: Was it received, transferred, issued, returned, or adjusted?

****Valuation**** connects the physical quantity to its financial value, while ****replenishment**** helps identify when additional supply may be needed based on demand, minimum levels, lead times, and planning rules.

Mao ni ang reason nga “naa tay stock” is not enough. The system must know what the item is, where it is, whether it can be used, how it moved, and what value it represents.

****Transition****

These functions become reliable only when identity, location, movement, and physical verification support one another.

` [Clicks next slide] `

Slide 9 — Inventory Records, Movements, and Control

****Stage Direction****

` [Shows Slide 9 and moves the cursor down through the four layers] `

****Verbatim Teacher Script****

` [Instructor reads the essential slide content] `

“Reliable stock information requires aligned records, movements, and verification.”

The first layer is ****Identity****. The item code, description, unit of measure, classification, and control attributes should clearly identify the stock. This prevents duplicate or ambiguous item records.

The second is ****Location****. The system should show the warehouse, storage area, branch, ownership, and stock status. This answers not only “How many?” but also “Where are they, and can they be used?”

The third is ****Movement****. Every receipt, transfer, issue, reservation, return, and adjustment should have a date, reference document, and responsible user.

The final layer is **Verification**. Cycle counts, physical counts, reconciliation, approval, and exception analysis help confirm that the system record agrees with controlled physical evidence.

For example, if the ERP says there are ten computers but the physical count shows only nine, the organization should not silently change the quantity. The difference must be investigated, documented, and approved.

Klaro ra? A reliable inventory balance is not based only on data entry. It depends on traceable movement and physical verification.

Transition

Now that the three modules are clear individually, let us connect them through one purchasing event.

` [Clicks next slide] `

Slide 10 — Procurement–Inventory–Finance Integration

Stage Direction

` [Shows Slide 10, opens the enlarged visual, and points from Procurement to Inventory to Finance] `

Verbatim Teacher Script

` [Instructor reads the essential slide content] `

“A purchasing event becomes inventory and financial information.”

This visual shows the relationship among the three modules.

On the left, **Procurement** maintains the supplier and purchasing records. It controls the authorized purchasing documents.

In the center, **Inventory** records the quantity, location, and status of the goods received. It also maintains later movements such as transfers, issues, and adjustments.

On the right, **Finance** records payables, ledger effects, inventory valuation, and financial reporting information.

Let us use the same computer purchase without repeating the entire Procurement process. Procurement has already created and controlled the purchase. When the computers arrive, Inventory records ten units in the correct location. Finance then records the value of those units and the obligation to the supplier.

The arrows also show that information can move back. Inventory may report availability or receipt exceptions to Procurement. Finance supplies account and control information that affects how the event is posted.

The modules remain functionally separate, but shared references keep the quantity, commitment, liability, and value synchronized.

Quick Understanding Check

Which module records the physical receipt quantity?

`[Pauses briefly]`

Correct—Inventory. Which module records the supplier obligation? Finance, specifically Accounts Payable.

Transition

This integration works only when the modules refer to the same supplier, item, organizational unit, account, and user records.

`[Closes the enlarged visual and clicks next slide]`

Slide 11 — Shared Master Data Across Modules

****Stage Direction****

`[Shows Slide 11 and highlights the first column of the table]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Integration depends on common reference records.”

We do not need to read every cell mechanically. Instead, focus on how one master record is reused across modules.

The ****Supplier**** record is used by Procurement as the approved source, by Inventory as the source of the receipt or return, and by Finance for the payable account and payment terms.

The ****Item**** record is used by Procurement to identify what is being ordered, by Inventory to track quantity and movement, and by Finance to determine valuation and account treatment.

The ****Organizational Unit**** identifies the requester, buyer, warehouse, branch, cost center, company, or reporting responsibility.

****Account and Classification**** records connect spending categories, stock categories, valuation rules, and General Ledger accounts.

Finally, ****User and Role**** records determine who may request, approve, order, receive, move, count, adjust, post, reconcile, pay, or report.

Pasabot ani, technical connection alone is not enough. Even if the systems exchange data correctly, integration becomes unreliable when one supplier or item exists under several inconsistent records.

****Brief Example****

If the same supplier is entered as “Mindanao Office Supply,” “MOS Trading,” and “Mindanao Office Supplies Inc.,” purchasing history and payable balances may become fragmented.

****Transition****

Because the modules share these records, one authorized business event can update several areas of the ERP at once.

` [Clicks next slide] `

Slide 12 — Cross-Module Event Matrix

****Stage Direction****

` [Shows Slide 12 and points to the major event rows rather than reading every cell] `

****Verbatim Teacher Script****

` [Instructor reads the essential slide content] `

“One authorized event can update several records at once.”

Let us focus on the five major events.

When a ****purchase order is approved****, Procurement activates the order commitment. Inventory may display an expected receipt, while Finance may update commitment or budget information.

When ****goods are received****, Procurement updates the ordered quantity, Inventory increases the on-hand quantity and location balance, and Finance may recognize inventory value and an interim liability depending on configuration.

When the ****supplier invoice is accepted****, Procurement confirms that the order and receipt match, while Finance records the Accounts Payable liability.

When ****payment is released****, there is normally no physical inventory change. Procurement updates the supplier document history, while Finance reduces cash and settles the payable balance.

An **inventory adjustment** is different. It does not create a new purchase commitment, but it changes the recorded quantity. Finance may then post the valuation difference according to policy.

Notice ninyo nga not every event affects all modules in the same way. The effect depends on what actually changed: commitment, quantity, liability, cash, or value.

Transition

Coordinated updates are powerful, but they also create points where inconsistent data, timing, authorization, or configuration can cause problems.

`[Clicks next slide]`

Slide 13 — Module Integration Challenges and Controls

Stage Direction

`[Shows Slide 13 and groups the six challenge cards into related pairs]`

Verbatim Teacher Script

`[Instructor reads the essential slide content]`

“Module integration requires disciplined data, timing, authorization, and reconciliation.”

The first issue is **duplicate master records**. When the same supplier or item has several identities, history and balances become fragmented.

Second is **timing differences**. A physical receipt may already have happened, but the ERP receipt may be entered late. An invoice or adjustment may also be delayed. During that period, operational and financial views can temporarily disagree.

Third is **authorization gaps**. Weak role design may allow one person to request, approve, receive, and release payment without sufficient separation of responsibility.

Fourth is **valuation errors**. Incorrect units, costs, accounts, or movement types can distort both stock information and financial balances.

Fifth is **unresolved exceptions**. Differences in quantity, price, receipt, or invoice should have a clear owner and resolution process.

Finally, **configuration drift** happens when posting rules, workflow, or master-data settings are changed without proper control. Over time, this weakens consistency and auditability.

These challenges are connected. For example, a duplicate item record can lead to a receipt under one code and an invoice under another. That becomes both a matching problem and a reconciliation problem.

Transition

These controls make more sense when we view the modules not as separate departments, but as one operational loop.

` [Clicks next slide]`

Slide 14 — Finance, Procurement, and Inventory as One System

Stage Direction

` [Shows Slide 14 and moves the cursor through the four-stage loop]`

Verbatim Teacher Script

` [Instructor reads the essential slide content]`

“Finance, Procurement, and Inventory form a controlled operational loop.”

The loop begins with **Plan and authorize**. The organization identifies the need, checks the budget and policy, selects the supplier, and obtains approval.

Next is **Acquire and receive**. Procurement issues the order, the supplier delivers, and Inventory confirms the quantity, condition, acceptance, and location.

Then comes **Record and settle**. Finance recognizes the value and liability, processes payment, updates the ledger, and supports financial reporting.

Finally, the organization must **Monitor and improve**. Managers review stock availability, spending, supplier performance, exceptions, and other information for decision-making.

Below the flow are four supporting elements: **people and roles, integrated processes, shared data, and policies and controls**.

Mao ni ang pinaka-importanteng connection: software alone does not create integration. People must follow the process, master data must be reliable, roles must be appropriate, and controls must support the same organizational objective.

The three modules deliver value when they support one process—not when each department treats its module as an isolated system.

Transition

Let us close by identifying the essential responsibility of each module and the one principle that connects them.

`[Clicks next slide]`

Slide 15 — Lesson Summary

Stage Direction

`[Shows Slide 15 and pauses before discussing the summary cards]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Session 4 key concepts.”

Instead of rereading every card, let us summarize the relationship.

****Finance**** records and controls the monetary effects of operations through components such as the General Ledger, Accounts Payable, and Accounts Receivable.

****Procurement**** controls how organizational needs become authorized purchases through supplier management, approvals, purchase orders, receipts, invoice matching, and purchasing visibility.

****Inventory**** maintains trusted information about item identity, location, quantity, status, movement, verification, and value.

The modules remain separate in responsibility, but shared master data and controlled transactions connect them. Because of that connection, managers can see not only what was ordered, but also what was received, what is available, what is owed, and what was eventually paid.

That integrated visibility supports accountability and better decision-making.

****Transition****

That completes our discussion of the three core ERP modules.

Session Closing

`[Returns to the full slide view and checks the participant panel]`

Before we end, let us return to the question we raised at the beginning: when an organization makes one purchase, how can it affect several modules?

Procurement controls and documents the purchase. Inventory records what was physically received and where it is located. Finance records the value, supplier obligation, payment, and General Ledger effect.

So our main takeaway is this: **ERP modules specialize in different responsibilities, but shared data and controlled business events allow them to operate as one system.**

Klaro ra ang overall flow? Wala ray final question about the difference among Procurement, Inventory, and Finance?

`[Pauses briefly for questions]`

Thank you, everyone. That concludes Week 2, Session 4.